Hong Kong Institute of
Certified Public Accountants
香港會計師公會

Qualification Programme Examination Panelists' Report

Module 14 – Taxation
(June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case questions in Section A covered topics including the taxation of royalty fee income earned by non-resident and related tax administrative procedures, capital gains analysis and profit source, understanding on transfer pricing methodologies, tax analysis on business relocation, and basic knowledge on AML and risk awareness in terms of client acceptance and tax engagement proposal.

The overall performance of the candidates in this section was less than satisfactory. Most candidates simply presented their knowledge on tax laws without taking into account the case information given and were thus unable to develop solutions that addressed the specific tax issues. Also, it appears that candidates did not read the questions carefully and did not make use of the case information in answering, despite the case information having provided hints and directions to candidates that should have assisted them in better understanding the requirements of the examiner. In a professional level exam, we consider possession of these skills as essential.

In order to exhibit satisfactory performance for business case questions, candidates should strike a balance between understanding the case information, applying technical knowledge, and developing solutions that address the problem. Candidates should also pay attention to time allocation to allow sufficient time to attempt all questions.

Specific Comments

Question 1(a) – 5 marks

This question required candidates to demonstrate their understanding on the taxation of royalty fee income earned by non-residents and the relevant tax withholding requirements for a Hong Kong payer. The performance of candidates in this question was diverse. Candidates who were able to conclude the royalty fee income was taxable under the deeming section of the IRO naturally came up with the consequences of tax withholding, reporting and payment by the Hong Kong payer and thus scored satisfactory marks. Some candidates followed the incorrect direction of transfer pricing and deduction under DIPN 49 and hence did not address the payer's obligations.

Question 1(b) – 5 marks

This question required candidates to demonstrate their knowledge on the practical aspect of claiming preferential tax treatment under double tax agreement. For candidates who were able to follow the right track in answering Question 1(a), most could continue to set out the factors that were key conditions for the application of the tax treaty benefit and suggested the relevant supporting documentation required. This was a question that extended beyond testing candidates' technical knowledge and stepped into the practical area of application, which may have been considered challenging to candidates who have had no working experience on taxation. The performance of candidates in this question was fair, with most candidates only managing to write 1 or 2 relevant points out of a total of 5 as suggested in the answer.

Question 2(a) – 5 marks

This question required candidates to analyse the taxation of the business disposal gain. Again, the performance of the candidates in this question was less than satisfactory, as most candidates did not make reference to the case information and simply provided a "standard" response on the nature of capital gains followed by a quickly drawn conclusion that was not supported by any valid analysis.

The key to success was to first identify the relevant information provided in the case and then apply the same information to the tax analysis by reference to the technical knowledge. If candidates read the case carefully, they should have been able to identify a few facts (which were made quite obvious in the case) as the basis for the tax analysis. Unfortunately, very few candidates were able to do this, and thus most of them only scored very low marks.

Question 2(b) – 5 marks

This was a commonly asked question on carrying on business and profit source. Most candidates who were able to follow the correct approach in analysing the above 2 issues were able to come to the correct conclusion and scored satisfactory marks. Though the question specifically requested an analysis of the issue on carrying on business in Hong Kong, many candidates also discussed central management and control and PE, which were not required to be addressed.

Question 3(a) – 4 marks

This question required candidates to evaluate 2 transfer pricing methodologies. Because of the way the case information was designed, the answer should not be controversial and thus most candidates came up with the correct conclusion. Candidates who scored lower marks mainly failed to point out the characteristic of the transaction. Some candidates wrote longer than expected answers which thus negatively affected their performance in answering other questions.

Question 3(b)(i) – 10 marks

This question required candidates to compute the profits/income tax liability of a Hong Kong/mainland company and compare the results in order to conclude whether there is any net benefit from the business restructuring. To assist candidates in planning for the tax calculation, a suggestion on the presentation format was provided (in fact, candidates who scored high marks followed the suggestions in preparing their calculation tables, which were largely identical to the information table given in the question).

This is an area less addressed in past exams, and therefore candidates' performance was poor. Some candidates did not attempt this question (with some even not writing the answer for the simplest part of the question on the calculation of Hong Kong profits tax liability before restructuring), and most of those who attempted were only able to compute the figures up to profit after tax. Very few candidates were able to further compute the after-tax return to shareholders (though the mainland China dividend withholding tax rate of 5% was given in the question as a hint) and fewer eventually came up with the net benefit figure.

The logic behind the calculation of the net benefit was not complicated. Candidates' poor performance could have been due to a lack of experience/confidence in tackling this new type of question. Candidates are advised to think openly in dealing with uncomfortable questions.

Question 3(b)(ii) – 4 marks

This was an analytical question on the evaluation of net benefit change against the independent variable of mark-up rate. The performance of candidates differed greatly. Those who scored satisfactory marks realized the net benefit was related to the tax rate differential between Hong Kong and mainland China (which was specifically highlighted in the question). Once this relationship was identified, it should not have been difficult to move on to the analytical thinking process. This is another example showing how important it is to read the question and case information carefully, as there were hints throughout both.

Question 3(c) – 4 marks

This question tested candidates on their understanding on advance pricing agreement and its application. Many candidates were able to write answers that were broadly along the correct direction and came to the correct conclusion, therefore scoring satisfactory marks. Surprisingly, few candidates were able to point out the key reason for the conclusion was the nature of the transaction (i.e., low-risk, not complex and routine in nature), which was specifically mentioned in the case and also covered in the study text.

Question 4 – 8 marks

The first part of this question required candidates to demonstrate their risk awareness towards the client acceptance procedure with a particular focus on AML. The red flag indicators were the client's prominent public function and his sensitive role on government contract consultancy, which may entail higher risk on corruption and money laundering. Performance of candidates on this part was less than satisfactory, as very few candidates were able to identify that the client is a foreign PEP and the ML risk arising from his sensitive role; thus, the risk discussion was diverted to the less important issue on conflict of interest and standard (instead of enhanced) CDD procedure. With the increasing importance of AML in the accounting profession and the severe damages (i.e., monetary/image) that can cause to the firm and profession, candidates are advised to enrich their knowledge in this area.

The second part of this question tested candidates on their knowledge of Ethics in Tax Practice. This is a common exam topic and candidates' performance was satisfactory. Though the question style was very different from past exams, candidates were able to set out the correct key points succinctly, and those who also cited the relevant facts in the case to support their conclusions scored higher marks.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section covered a wide range of topics, including election of personal assessment and tax computation under personal assessment, definition and profits tax implications of permanent establishment ("PE") involving a non-DTA territory, tax treatments on various fringe benefits, and appropriation of trading stock for non-trade purposes. Candidates generally scored satisfactory marks for technical questions on topics which the study text had covered, but performed unsatisfactorily in analytical questions. Many candidates did not attempt Question 8(b), which was the last question. This might have been due to insufficient time. In addition, many candidates appeared to have overlooked some requirements of the questions. Candidates should improve their time management during the examination and read the requirements of the questions carefully.

Specific Comments

Question 5(a) – 5 marks

This question required candidates to demonstrate their knowledge on the eligibility for election of personal assessment, especially the separate election of personal assessment from a taxpayer's spouse starting from the year of assessment 2018/19 and involving same-sex marriage. Generally, candidates demonstrated good knowledge of personal assessment and applied their knowledge in the build-up to their conclusion. However, in determining whether a person is a temporary resident of Hong Kong, most students failed to or wrongly calculated the exact number of days of presence in Hong Kong. Also, a few students mixed up the concept of "permanent resident" with "ordinarily resident". Overall, the performance of the candidates in this question was good.

Question 5(b) – 10 marks

This question required candidates to compute tax liabilities under personal assessment. In general, the performance of the candidates in this question was good. However, quite a number of candidates overlooked the need to deduct the 20% statutory allowance in arriving at the net assessable values of properties, adding back the mandatory provident fund contributions to find the gross income, and deducting the tax reduction of HK$20,000.

Question 6 – 10 marks

This question required candidates to determine whether a Hong Kong branch of an overseas company in a non-DTA territory and sending an employee to conclude contracts constituted a PE in Hong Kong. Quite a number of candidates wrongly focused on discussing the source of profit and six badges of trade. In addition, some candidates failed to analyse separately whether there was an existence of PE before and after two years. Most of the candidates presented their answers in the correct memo format. In general, the performance of the candidates in this question was fair.

Question 7 – 13 marks

This question required candidates to demonstrate their knowledge on chargeability of different kinds of fringe benefits to employees. This was a relatively straightforward question, but the performance of the candidates was unsatisfactory. While the question was about the salaries tax implications of the fringe benefits, many students only focused on deductibility of expenses and did not touch on the chargeability of the benefits.

Question 8(a) – 8 marks

This question required candidates to analyse the profits tax implications in the situation where a developer changed its intention in respect of a site from trading stock to capital asset, which involved the appropriation of an asset from trading stock to non-trade purpose under s.15BA(2) of the IRO. The performance of the candidates in this question was poor. Only a few candidates applied s.15BA(2) of the IRO correctly. Though it was explicitly indicated in the question that commercial building allowance should be ignored, many candidates still discussed it. While the question was about profits tax implications, some candidates answered from the stamp duty and property tax perspectives. Candidates should read the requirements of the question carefully.

Question 8(b) – 4 marks

This question required candidates to compute the profits tax liabilities under s.15BA(2) of the IRO. Many candidates did not attempt this question. For those who attempted the question, many only took into account the construction cost but not the acquisition cost in computing the assessable profits. Though many candidates included rental income and operating expenses in their computations, they failed to adopt the correct number of months. In addition, quite a number of candidates wrongly treated the gain on disposal of the buildings to the subsidiary as taxable. Overall, performance on this question was poor.

(III) Conclusion and Recommendation

Similar to previous sessions, candidates performed better in computational questions, while analytical questions, in particular those involving in-depth analyses, remained a challenge for most candidates. To obtain better results and avoid confusion, candidates should read the questions carefully. For analytical questions, especially those allocated substantial marks, candidates should construct a comprehensive skeleton and develop their answers beginning with the relevant legal principles which are generally allocated marks, particularly those well-established in the courts' judgments. They should then clearly and logically apply the legal principles to the facts set out in the questions. Conclusions should be made based on this analysis. Candidates should manage time allocation properly, attempt all questions, and avoid spending excessive time on copying substantial material from their Learning Pack without effective analysis.